

Consolidated income statement

	30 June 2017 Shs'000	30 June 2016 Shs'000	31 December 2016 Shs'000
Revenue			
Gross earned premium	11,236,317	10,520,271	20,291,844
Less: reinsurance premium ceded	(1,491,205)	(1,639,368)	(2,898,259)
Net earned premium	9,745,112	8,880,903	17,393,585
Fund management fees	451,878	490,317	929,234
Investment income	2,772,369	2,726,124	5,223,975
Net realised gains on financial assets	(91,167)	23,462	32,718
Net unrealised fair value gains on financial assets at fair value through profit or loss	1,181,529	(342,357)	(2,444,727)
Commissions earned	514,775	416,941	718,839
Other income	118,495	491,893	506,590
Total revenue	14,692,991	12,687,283	22,360,214
Expenses			
Insurance claims and loss adjustment expenses	5,328,867	4,259,527	8,987,829
Less: amount recoverable from reinsurers	(961,398)	(564,523)	(1,201,053)
Change in actuarial value of policyholder benefits	2,301,644	(86,536)	(2,785,611)
Net insurance benefits and claims	6,669,113	3,608,468	5,001,165
Interest payments/increase in unit value	513,893	639,912	1,742,978
Operating and other expenses	3,898,804	3,529,665	7,094,697
Finance costs	589,772	514,036	1,177,264
Commissions payable	1,816,824	1,825,156	3,547,258
Total expenses	13,488,406	10,117,237	18,563,362
Profit before share of the profit of the associate	1,204,585	2,570,046	3,796,852
Share of profit of the associates accounted for using the equity method	77,629	303,252	442,281
Profit before tax	1,282,214	2,873,298	4,239,133
Income tax expense	(287,125)	(1,094,403)	(1,758,929)
Profit for the year	995,089	1,778,895	2,480,204
Profit attributable to:			
-Owners of the parent	984,385	1,766,860	2,436,776
-Non-controlling interests	10,704	12,035	43,428
Earnings per share for profit attributable to the owners of the parent during the year			
- Basic and diluted (Shs per share)	0.51	0.92	1.26

Consolidated statement of comprehensive income

	30 June 2017	30 June 2016	31 December 2016
	Shs'000	Shs'000	Shs'000
Profit for the year	995,089	1,778,895	2,480,204
Other comprehensive income items, net of tax:			
Items that will not be reclassified to profit or loss			
Gains on revaluation of land and buildings			678
Gains on revaluation of financial assets at fair value through other comprehensive income	963,392	(9,587)	(1,121,998)
Gain on disposal of financial assets at fair value through other comprehensive income	45,303	(208,049)	(268,287)
Re-measurement of the net defined benefit asset	-	-	(62,543)
Total items that will not be reclassified to profit or loss	1,008,695	(217,636)	(1,452,150)
Items that may be subsequently reclassified to profit or loss			
Share of other comprehensive income from associates accounted for using the equity method	-	-	(6,495)
Currency translation differences	(97,687)	313,934	(236,886)
Total items that may be subsequently reclassified to profit or loss	(97,687)	313,934	(243,381)
Total other comprehensive income	911,008	96,298	(1,695,531)
Total comprehensive income for the year	1,906,097	1,875,193	784,673
Attributable to:			
-Owners of the parent	1,895,393	1,863,158	741,245
-Non-controlling interests	10,704	12,035	43,428

Consolidated statement of financial position

	30 June 2017	30 June 2016	31 December 2016
	Shs'000	Shs'000	Shs'000
CAPITAL EMPLOYED			
Share capital	193,841	193,841	193,841
Share premium	4,263,412	4,263,412	4,263,412
Other reserves	13,356,243	10,487,067	11,874,244
Retained earnings	1,310,744	3,983,885	897,351
Proposed dividend	-	-	581,525
Shareholders' funds	19,124,240	18,928,205	17,810,373
Non-controlling interests	77,928	35,831	67,223
Total equity	19,202,168	18,964,036	17,877,596
REPRESENTED BY:			
Assets			
Property and equipment	1,567,665	2,037,716	1,691,591
Intangible assets	1,975,840	1,794,229	1,989,351
Investment in associates	5,809,746	7,015,892	6,308,503
Goodwill	1,558,433	1,558,433	1,558,433
Investment property	5,244,271	3,564,702	4,890,775
Investment in property funds	9,043,270	7,220,121	8,616,740
Quoted ordinary shares at fair value through other comprehensive income	5,215,894	5,550,521	4,325,082
Financial assets at fair value through profit or loss:			
- quoted ordinary shares	9,480,548	8,705,259	7,504,001
- unquoted ordinary shares	9,572	9,559	9,585
- unit trusts	6,291,357	5,082,712	6,649,003
- government securities	7,394,074	3,491,179	4,234,671
Corporate bonds at amortised cost	1,426,367	1,643,047	1,450,295
Government securities at amortised cost	16,892,521	15,162,890	17,190,127
Mortgage loans and receivables	1,155,841	1,048,481	1,179,022
Loans and receivables to policy holders	918,566	695,183	834,382
Receivables arising out of reinsurance arrangements	323,691	666,295	1,104,022
Receivables from direct insurance arrangements	2,950,238	2,358,204	2,389,703
Reinsurers' share of insurance liabilities	3,023,412	3,259,617	2,679,370
Deferred acquisition costs	725,755	594,551	458,201
Deferred income tax	483,491	360,068	388,120
Current income tax	228,434	163,530	196,567
Other receivables	2,040,718	2,100,152	1,813,159
Retirement benefit asset	168,841	148,036	168,841
Investment in liquid funds	814,937	-	1,042,825
Deposits with financial institutions	3,995,158	5,270,296	3,623,196
Cash and bank balances	1,884,196	2,187,009	1,347,044
Total assets	90,622,836	81,687,682	83,642,609

Liabilities

Insurance contract liabilities	21,467,000	21,830,980	18,744,957
Payable under deposit administration contracts	24,187,981	17,079,911	21,839,735
Liabilities under investment contracts	4,058,693	5,121,312	4,910,059
Unearned premium	5,805,608	5,239,870	4,360,352
Creditors arising from reinsurance arrangements	571,375	508,873	544,754
Creditors arising from direct insurance arrangements	14,011	10,065	11,708
Borrowings			
- Britam 2014 medium term note	6,000,000	6,000,000	6,000,000
- Bank loan	3,019,472	980,000	3,020,718
- Interest payable	372,147	370,066	359,108
Deferred income tax	3,711,257	2,773,069	3,394,778
Other payables	2,196,993	2,591,538	2,443,572
Bank overdraft	16,131	50,000	-
Current income tax	-	167,962	135,272
Total liabilities	71,420,668	62,723,646	65,765,013
Net assets	19,202,168	18,964,036	17,877,596

Consolidated statement of changes in equity

Year ended 30 June 2017	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the year	193,841	4,263,412	11,874,244	897,351	581,525	17,810,373	67,223	17,877,596
Comprehensive income								
Profit for the year	-	-	570,992	413,393	-	984,385	10,705	995,090
Other comprehensive income, net of tax	-	-	911,007	-	-	911,007	-	911,007
Total comprehensive income for the year	-	-	1,481,999	413,393	-	1,895,392	10,705	1,906,097
- Final for 2015 paid	-	-	-	-	(581,525)	(581,525)	-	(581,525)
Total transactions with owners	-	-	-	-	(581,525)	(581,525)	-	(581,525)
At end of year	193,841	4,263,412	13,356,243	1,310,744	-	19,124,240	77,928	19,202,168

Period ended 30 June 2016	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the year	193,841	4,263,412	10,424,977	2,221,480	581,525	17,685,235	(10,787)	17,674,448
Comprehensive income								
Profit for the year	-	-	-	1,796,987	-	1,796,987	12,036	1,809,023
Other comprehensive income, net of tax	-	-	62,090	-	-	62,090	-	62,090
Total comprehensive income for the year	-	-	62,090	1,796,987	-	1,859,077	12,036	1,871,113
Purchase of 35% of Britam Malawi	-	-	-	(34,582)	-	(34,582)	34,582	-
- Final for 2015 paid	-	-	-	-	(581,525)	(581,525)	-	(581,525)
Total transactions with owners	-	-	-	(34,582)	(581,525)	(616,107)	34,583	(546,942)
At end of year	193,841	4,263,412	10,487,067	3,983,885	-	18,928,205	35,831	18,964,036

Consolidated statement of changes in equity (Continued)

Year ended 31 December 2016	Share capital Shs'000	Share premium Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Total equity Shs'000	Non-controlling interests Shs'000	Total equity Shs'000
Start of the year	193,841	4,263,412	10,424,977	2,221,480	581,525	17,685,235	(10,787)	17,674,448
Comprehensive income								
Profit for the year	-	-	3,127,080	(690,304)	-	2,436,776	43,428	2,480,204
Other comprehensive income, net of tax	-	-	(1,695,531)	-	-	(1,695,531)	-	(1,695,531)
Total comprehensive income for the year	-	-	1,431,549	(690,304)	-	741,245	43,428	784,673
Transfer to other reserves	-	-	17,718	(17,718)	-	-	-	-
Transactions with owners								
Purchase of Non-Controlling Interest of 35% in Britam Insurance Company Limited (Malawi)	-	-	-	(34,582)	-	(34,582)	34,582	-
- Final for 2015	-	-	-	-	(581,525)	(581,525)	-	(581,525)
- Proposed final for 2016	-	-	-	(581,525)	581,525	-	-	-
Total transactions with owners of the parent recognised directly in equity	-	-	17,718	(633,825)	-	(616,107)	34,582	(581,525)
At end of year	193,841	4,263,412	11,874,244	897,351	581,525	17,810,373	67,233	17,877,596

FINANCIAL RESULTS FOR THE PERIOD ENDED 30 JUNE 2017

The Board of Directors of Britam Holdings Plc (formerly Britam Holdings Limited) is pleased to announce the unaudited Group results for the six months period ended 30 June 2017.

PERFORMANCE OVERVIEW

The performance of the Group in the year was resilient in the current market conditions. Total comprehensive income increased to Shs 1.91 billion compared to total comprehensive income of Shs 1.88 billion in June 2016. The group recorded a profit before tax of Shs 1.3 billion compared to profit before tax of Shs 2.9 billion in June 2016.

The Group has continued to cement its diversification strategy by offering a wide range of products in diversified markets. The key financial performance highlights are as below:-

- Total income recorded a growth of 16% closing at Shs 14.7 billion compared to Shs 12.7 billion same period last year.
- The core insurance business, which accounts for 66% (2016: 70%) of the total revenue, remained the key focus generating revenue growth of 10% to Shs 9.7 billion compared to Shs 8.9 billion in June 2016.
- The value of life insurance business is measured using the embedded value (EV) method. The EV as at June 2017 had grown by 20% from December 2016 to close at Shs 13.3 billion with a return on EV at 19.9% (annualised return of 39.8%) compared to a return of 7.2% last year.
- Investment income (dividends and interest), increased by 15% from Shs 2.1 billion in June 2016 to Shs 2.5 billion. Investment in equities returned fair value gains amounted to Shs 2.1 billion compared to a loss of Shs 328 million in June 2016.
- The regional businesses contributed revenue of Shs 1.2 billion (June 2016: Shs 1.3 billion), which accounted for 13% (June 2016: 15%) of the net earned premiums, 12% (June 2016: 14%) of the total income and 6% (June 2016: 8%) of the total assets of the group.
- The net insurance benefits increased by 85% to Shs 6.7 billion. The main driver was the change in 2016 to Gross Premium Valuation (GPV) methodology from the previously applied Net Premium Valuation (NPV) in compliance with requirements of the Insurance Act as amended by the Finance Act 2015. This change reduced the 2016 numbers by Shs 2.2 billion.
- The Group's asset base increased to Shs 90.6 billion from Shs 83.6 billion in December 2016. The Assets Under Management (AUM) by our asset management subsidiary have grown from Shs 108.9 billion in December 2016 to Shs 124.5 billion. The launch of Britam Asset Managers Uganda is expected to help further growth in AUM is therefore expected.
- Earnings per share (basic and diluted) have declined by 55% to Shs 0.51 from Shs 0.92 in June 2016.

The Group continues to execute its property strategy. The construction of the Britam Tower has been successfully completed. Construction of the Kilimani serviced apartments whose ground breaking was done in April 2017 is progressing per well.

DIVIDEND

The Board of Directors does not recommend payment of interim dividend.